

Executive MBA Financial Accounting

Review Session 2

Angela Cheng

Credits to Yvonne Han

CHICAGO BOOTH



The University of Chicago Booth School of Business

Housekeeping

TA Information

- **Shirley Xu**, room G11, xxu32@alumni.chicagobooth.edu
- **Angela Cheng**, room G12, hcheng12@alumni.chicagobooth.edu

Office Hours during off works (optional)

- ***Best to study with Haresh during his office hours [TBD]!!!***
- TA office hours will be on Monday evenings from 8 – 9 pm HKT on 27/1(AC), 3/2(AC), 10/2(SX), 17/2(SX)
- Please submit questions in advance via emails (until the day before)

Housekeeping

Assignment 2 due on Saturday (Jan 25) at 9am

Roadmap

- Revenue recognition: Account movements
- Practice question similar to Assignment 2 Part 1 Q1 (posted on Canvas)
- Inventory refresher (if time allows)

Account Movements

Starting with T-accounts

- For balance sheet accounts; “Stock”
 - Beginning balance + Dr/Cr during the period = Ending balance
- For income statement accounts; “Flow”
 - Beginning balance = 0, ending balance = 0 after closing entries
 - During the period, Dr/Cr when making revenues & incurring expenses

Tips on Understanding Account Movements

- Be familiar with the “common” transactions for each T-account
- Don’t panic – keep track of them and fill in the info. one by one
- Even if you cannot solve for everything at one point, there might be excess information given so it will work out eventually

Summary: Revenue Recognition Journal Entries

Journal Entries

(1) *Credit Sale*

Dr A/R
Cr Revenue (Gross)

(2) *A/R Collection*

Dr Cash
Cr A/R (Gross)

(3) *Cash Sale*

Dr Cash
Cr Revenue (Gross)

(4) *Provision for Uncollectibles*

Dr Bad Debt Expense
Cr Allowance for Uncollectibles (Contra-A/R)

(5) *Provision for Sales Returns (Credit Sales)*

Dr Sales Returns (Contra-Revenue)
Cr Allowance for Sales Returns (Contra-A/R)

(6) *Provision for Sales Returns (Cash Sales)*

Dr Sales Returns (Contra-Revenue)
Cr Liability for Sales Returns

Liability because we already received cash from customers

(7) *(Actual) Write-off of Uncollectible A/R*

Dr Allowance for Uncollectibles (Contra-A/R)
Cr A/R (Gross)

(8) *(Actual) Returns of Sold Goods (Credit Sales)*

Dr Allowance for Sales Returns (Contra-A/R)
Cr A/R (Gross)

(9) *(Actual) Returns of Sold Goods (Cash Sales)*

Dr Liability for Returns
Cr Cash

(10) *Advances from Customers*

Dr Cash
Cr Deferred Revenue

(11) *Reversal of Deferred Revenue*

Dr Deferred Revenue
Cr Revenue (Gross)

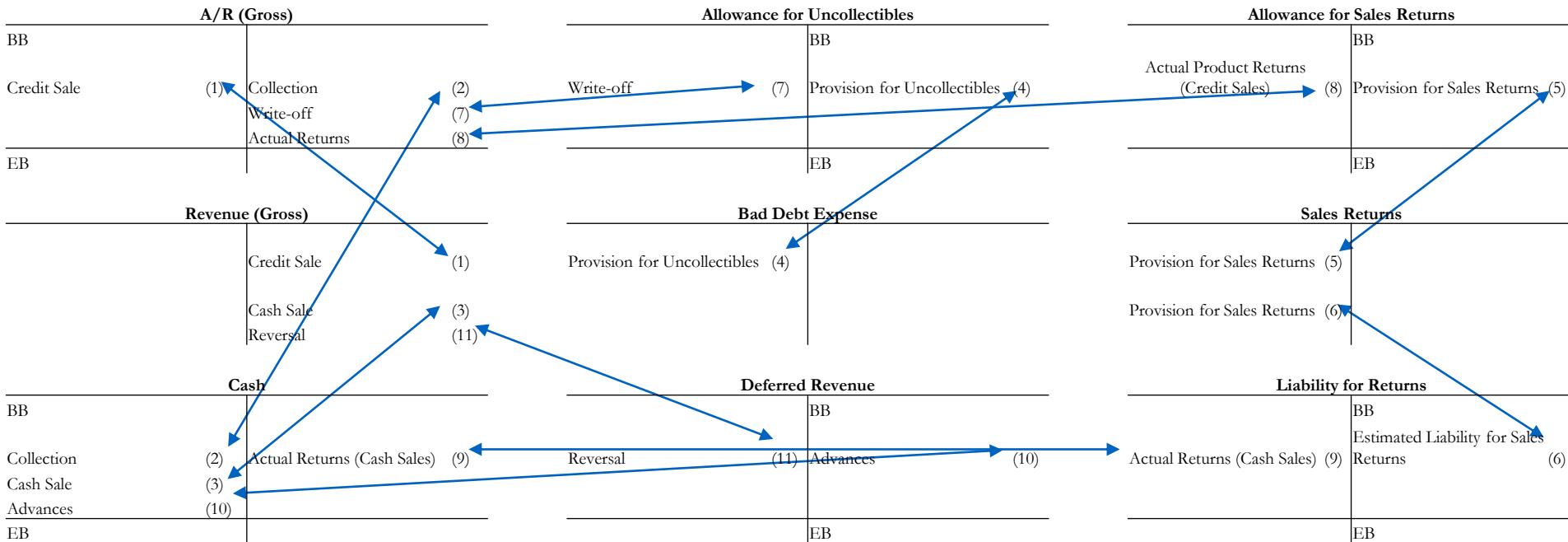
A/R (gross) - Allowance for Uncollectibles - Allowance for Returns for credit sale = A/R (net)

Change in A/R (gross) - Change in Allowance for Uncollectibles - Change in Allowance for Returns for credit sale = Change in A/R (net)

(Credit Sales - Cash Collection - Write-offs - Actual Returns) - (Provision for Uncollectibles - Write-offs) - (Provision for Product Returns for Credit Sale - Actual Returns) = Change in A/R (net)

Credit Sales - Cash Collection - Provision for Uncollectibles - Provision for Product Returns for Credit Sale = Change in A/R (net)

Summary: Revenue Recognition T-Accounts



Net Accounts:

A/R (Net)		Revenue (Net)	
BB _{net}	Collection (2)	Provision for Sales Returns- Credit Sales (5)	Credit Sale (1)
Credit Sale	(1)	Provision for Sales Returns- Cash Sales (6)	Cash Sale (3)
	Provision for Uncollectibles (4)		Reversal of Deferred Revenue (11)
	Provision for Sales Returns (5)		
EB _{net}			

Where
and

$$BB_{net} = BB_{gross} - BB_{Allowances\ for\ Uncollectibles} - BB_{Allowances\ for\ Sales\ Returns}$$

$$EB_{net} = EB_{gross} - EB_{Allowances\ for\ Uncollectibles} - EB_{Allowances\ for\ Sales\ Returns}$$

Practice Question

Overview

- Question & template available on Canvas
- Similar to Assignment #2 Part #1 Q1

Tips

- Read and analyse info. given in the questions
- Fill in the T-accounts with given numbers first (both sides!)
- Write down short descriptions to keep track of transactions
- Try to solve for the unknowns by balancing each T-account

Basic Info.

2016

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Adjustments to reconcile net income (loss) to net cash from operating activities:	
Depreciation of property and equipment, including internal-use software and website development, and other amortization, including capitalized content costs	8,116
Stock-based compensation	2,975
Provision for Doubtful Accounts (Bad Debt Expense)	160
Provision for Product Returns	220
Deferred income taxes	(486)
Excess tax benefits from stock-based compensation	(829)
Changes in operating assets and liabilities:	
Inventories	(1,426)
Accounts receivable	(3,367)
Accounts payable	5,030
Accrued expenses and other	1,724
Additions to unearned revenue	11,931
Amortization of previously unearned revenue	(9,976)
Net cash provided by (used in) operating activities	16,443

Amazon's allowance accounts for FY 2016:

Account (millions of \$)	31/12/2016	31/12/2015
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Part 1 Question 1: T-Accounts

A/R (gross) (Assets)		Allowance for Uncollectibles (provision for impairment) (Contra Asset)		Allowance for Product/Sales Returns (Contra Asset)	
BB	Credit Sales	Write Off	Allowance for uncollectibles	BB	Actual returns for credit sales
	Actual returns made on credit sales				Allowance for returns for credit sales
EB	Collection of A/R			EB	
Revenue (gross) (Rev)		Bad Debt Expense (Exp)		Cost of Products Sold (Exp)	
	Reversal of Def. Rev	Allowance for uncollectibles			COGS
	Credit Sales				
	Cash Sales				
Cash (A)		Deferred Revenue (L)		Inventory (A)	
BB	Cash Sales	Reversal of Def. Rev	Advances from customers	BB	Purchase of Inventory
	Advances from Customers				COGS
EB	Collection of A/R			EB	Increase in Inventory
Product/Sales Returns (Contra-Revenue)		Accounts Payable (L)		Liability for Product/Sales Returns for cash sales (L)	
	Allowance for returns for credit sales	Cash paid to Suppliers	Purchase of Inventory	BB	Actual Returns for cash sales
	Allowance for returns for cash sales			EB	Allowance for returns for cash sales
Net Accounts:					
A/R (net of provisions for uncollectibles and returns) (A)		Revenue (net) (Rev)			
BB	Credit Sales	Allowance for returns for credit sales	Cash Sales		
	Allowance for Uncollectibles	Allowance for returns for cash sales	Credit Sales		
	Allowance for returns for credit sales		Reversal of Def. Rev		
EB	Collection of A/R		Total Net Rev		

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Inventory

Four types of Assumptions

- Specific identification
- First-In-First-Out (FIFO)
- Last-In-First-Out (LIFO)
- Weighted Average

Note: Assumptions of Cost Flow Only!

Cash Flow Assumption	Income Statement	Balance Sheet
FIFO	Old Purchase Prices	Current Purchase Prices
LIFO	Current Purchase Prices	Very Old Purchase Prices

Assuming an inflationary environment,

- FIFO: Higher inventories, lower expenses, higher NI, higher taxes
- LIFO: Lower inventories, higher expenses, lower NI, lower taxes

Inventory

LIFO Reserve

- By definition, $\text{Inventory FIFO} = \text{Inventory LIFO} + \text{LIFO Reserve}$
- Value of LIFO reserve
 - An unrealized holding gain due to rising inventory costs
- Such unrealized gain would be recognized in COGS when the inventory is eventually sold (e.g., LIFO liquidation)

Questions?

